

- **Individual Retirement Accounts.** Keep papers that indicate when your IRA contributions were made, the amount you invested, the date you opened the IRA, and the source of any money you rolled over from an employer retirement plan into your IRA. This documentation will be useful when you withdraw the money upon retirement. It's especially important to hold on to copies of IRS Form 8606, which you'll need to file each year if you make nondeductible contributions to a traditional IRA. When you withdraw money from a nondeductible traditional IRA, you won't be taxed on the money you contributed but only on the earnings. Also, hold on to a copy of the special form (Form 5329) that you'll need to file if you make a penalty-free withdrawal from your IRA, as described in Chapter 6.
- **Medical Expenses (Unreimbursed).** If you pay any medical costs that your health insurance doesn't reimburse you for, keep the receipts. (For that matter, if you pay all or part of the premiums on your health insurance, keep track of those expenses as well.) If at the end of the year these expenses exceed 7.5% of your adjusted gross income, you can deduct the portion that's over this threshold.
- **Miscellaneous Deductions.** This catch-all folder should include receipts for all possible deductions, including financial publications, tax preparation, job search activities, and certain education expenses. Go through it at the end of the year to determine what is and what may not actually be deductible.
- **Mortgage Interest Payments.** If you own a home, keep your 1098 form in this folder. A 1098 is an annual statement from your lender indicating how much interest and principal you paid on your mortgage. It may also tell you how much property tax you paid. Co-op owners generally receive a 1098 indicating the portion of the interest they paid on the building's mortgage. Keep your private mortgage insurance (PMI) paperwork in this file as well. You may be able to deduct the premiums as though they were mortgage interest.